

Mark Scheme

Sample assessment materials
for first teaching
September 2017

International GCSE in Business
(4BS1/01)

Paper 1: Investigating small
businesses

Question number	Answer	Mark
1(a) (i)	AO1 1 mark B Price	(1)

Question number	Answer	Mark
1(a) (ii)	AO1 1 mark D Delegation	(1)

Question number	Answer	Mark
1(a) (iii)	AO1 1 mark C Personal satisfaction	(1)

Question number	Answer	Mark
1(a) (iv)	AO1 1 mark A Net cash flow	(1)

Question number	Answer	Mark
1(a) (v)	AO2 1 mark B -200 000 Tks	(1)

Question number	Answer	Mark
1(a) (vi)	AO2 1 mark D 15 500 Tks	(1)

Question number	Answer	Mark
1(b)	AO1 1 mark Award 1 mark for a correct definition of revenue. Price multiplied by quantity sold (1) or income from sales (1).	(1)

Question number	Answer	Mark
1(c)	AO1 1 mark Award 1 mark for a correct definition of variable costs. Costs that change when output changes (1).	(1)

Question number	Answer	Mark
1(d)	AO2 1 mark Award 1 mark for a correct reason in the context of the business. Rent on restaurants (1). Salaries of chefs (1). Advertising of restaurants (1). Interest on bank loans to buy cooking equipment (1). Insurance of restaurants (1). Accept any other appropriate response.	(1)

Question number	Answer	Additional guidance	Mark
1(e)	AO2 2 marks $(4m \text{ Tks}/16 \text{ Tks}) \times 100$ Answer: 25%	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Answer	Mark
1(f)	AO1 3 marks Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this disadvantage will affect a business for a maximum of 3 marks. One disadvantage is that it will force a business to lower its prices (1). Therefore, the business will have to accept lower profit margins (1). As a result, the business will have less retained profit (1). NB Answers that list more than one disadvantage with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Indicative content
1(g)	A02 (3 marks)/A03 (3 marks) A02 - The restaurant group should prepare financial documents because it is a legal requirement and it will need to pay tax to the Bangladesh government on its profits. - Banks would want to see the restaurant group's statement of comprehensive income and statement of financial position in order to determine whether it should give Haji Biryani a loan or allow its overdraft to be increased. A03 - Without a statement of comprehensive income, the business may not end up paying accurate levels of tax. This could lead to Haji Biryani being fined. This would increase cash outflows and increase the risk of business failure. - Therefore, without proper financial documents Haji Biryani would find it very difficult to access external sources of finance. This would reduce Haji Biryani's liquidity position and make it harder to fund new projects like opening up further restaurants in Bangladesh.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03)
Level 2	3–4	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (A02) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03)
Level 3	5–6	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03)

Question number	Answer	Mark
2(a)	AO2 1 mark Award 1 mark for any valid piece of information in the context of the business. Qualifications that are food/hygiene-related (1). Experience of working in a restaurant (1). References from previous owners of restaurants (1). Accept any other appropriate response.	(1)

Question number	Answer	Mark
2(b)	AO2 1 mark Award 1 mark for any valid piece of information in the context of the business. Hours worked in the kitchen (1). Remuneration received for working in the kitchen (1). Food preparation qualifications required (1). Duties involved in the kitchen (1). Accept any other appropriate response.	(1)

Question number	Answer	Mark
2(c)	AO1 3 marks Award 1 mark for identification of a reason, plus 2 further marks for explaining why this reason may cause a business to write a person specification, for a maximum of 3 marks. The business wants to make sure they employ the right person (1), therefore there will be fewer complaints (1). As a result, the business is more likely to have higher levels of customer satisfaction (1). NB Answers that list more than one reason with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Answer	Mark
2(d)	A01 3 marks Award 1 mark for identification of a method, plus 2 further marks for explaining how this method may motivate employees, for a maximum of 3 marks. Giving employees a bonus (1), therefore employees will feel valued by the business (1). As a result, the employees will satisfy their esteem needs in Maslow's hierarchy (1). NB Answers that list more than one method with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Answer	Mark
2(e)	A01 3 marks Award 1 mark for the identification of a benefit to the business of having motivated employees and a further 2 marks for an explanation of the benefit, up to a maximum of 3 marks. Employees will become more loyal (1), therefore they are less likely to leave the business (1). As a result, the business will not have to spend as much employing new employees (1). NB Answers that list more than one benefit with no explanation will get a maximum of one mark. Accept any other appropriate response.	(3)

Question number	Indicative content	
2(f)	A02 (3 marks)/A03 (3 marks)/A04 (3 marks) A02 - Option 1 – This means that each spiced curry dish will generate more revenue. - Option 2 – This means that each chef and waiter will be paid less money, which reduces the fixed costs of the business. A03 - Option 1 – Therefore, the total costs of the business will be paid off faster, allowing the break-even point to decrease. - Option 2 – Therefore, with lower fixed costs, the total costs of the business will fall, allowing the revenue of the business to pay off the total fixed costs faster and resulting in a lower break-even point. A04 - Option 1 – However, raising the price will make customers less likely to want to visit the restaurant, so it is possible that demand could fall rather than increase, resulting in less revenue and a higher break-even point. - Option 2 – However, the motivation of the chef and waiters may decrease, resulting in lower-quality food and poor customer service. This may cause potential customers to go to rival restaurants, resulting in lower revenue and a higher, rather than lower, break-even point.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	- Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03) - Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (A04)
Level 2	4–6	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (A02) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03) - Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (A04)
Level 3	7–9	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03) - Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (A04)

Question number	Answer	Mark
3(a)	AO1 1 mark Award 1 mark for a correct definition of average total cost. Where average total costs (ATC)/unit costs fall when output increases (1) or where unit costs fall when output increases (1).	(1)

Question number	Answer	Mark
3(b)	AO2 2 marks Award 1 mark for identifying a reason why a restaurant group, such as Haji Biryani is part of the tertiary sector of the Bangladesh economy, plus 1 further mark for linking it to the context of the question. Haji Biryani serves food (1). This means that it provides a service to consumers (1). NB Do not accept reasons that would not be appropriate for the context of Haji Biryani. Accept any other appropriate response.	(2)

Question number	Answer	Additional guidance	Mark
3(c)	AO2 2 marks $20\,000 + (400 \times 10)$ Answer: 24 000 Tks	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Indicative content	
3(d)	AO2 (3 marks)/AO3 (3 marks) AO2 • This means that the restaurant group's current liabilities are not covered by the current assets minus inventory, such as stocks of rice. • For a restaurant group 0.9 is not a poor acid-test ratio since stocks of food will be turned into meals and sold for cash very quickly. AO3 • Therefore, Haji Biryani may have liquidity problems and, as a result, the restaurant group may be at risk of over-expansion. • Therefore, despite the acid-test ratio being below 1, this does not mean that Haji Biryani is facing cash flow problems: it could just mean they are being efficient with their use of working capital.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question number	Indicative content
3(e)	A02 (3 marks)/A03 (3 marks)/A04 (3 marks) A02 • Option 1 – Customer satisfaction will show the restaurant owners how happy customers are with the food quality and the speed of service. • Option 2 – A high level of profit will show the owners of the restaurant that they can make food at a cost which is lower than the price that they can sell it for. A03 • Option 1 – Therefore, customer satisfaction would be a useful measure of success since it would tell the business about the strength of its brand and how happy customers are with the product. This should then lead to higher revenues and profit. • Option 2 – Therefore, this would be a useful measure of success since it means that the business will not fail financially and returns are being generated for its owners. A04 • Option 1 – However, customer satisfaction is hard to measure accurately. If the restaurant uses questionnaires it is possible that customers may mislead the restaurant by filling them in inaccurately. This could result in the business being less successful than it first thought. • Option 2 – However, although the maximisation of profit in the short term may suggest that the business is successful, it may not reflect long-term success, especially if costs are cut to maximise profit, such as purchasing poorer-quality raw materials. This could damage the restaurant's brand and cause customers to dine at rivals' restaurants.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	- Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) - Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) - Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) - Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Question number	Answer	Additional guidance	Mark
4(a)	A02 2 marks $11\,000\,000 \times 1.2$ Answer: 13 200 000 Tks	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Indicative content	
4(b)	A02 (3 marks)/A03 (3 marks) A02 - This means that any loans that Haji Biriyanis take out from banks to fund the fourth restaurant will become more expensive. - People living in Dhaka will now have to pay more money on their loans, resulting in less spare income being available to allow them to visit restaurants. A03 - Therefore, the fixed costs of the business will rise. As a result, more revenue will be required to break even, resulting in a lower break-even point for the restaurant group. - Therefore, demand for Haji Biriyanis' food will decrease, leading to lower revenues and falling cash inflows. This would increase the risk of business failure.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03)
Level 2	3–4	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (A02) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03)
Level 3	5–6	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03)

Question number	Indicative content
4(c)	A01 (3 marks)/A02 (3 marks)/A03 (3 marks)/A04 (3 marks) A01 • Home delivery would result in increased customer satisfaction. • Home delivery could allow Haji Biryani to move into the takeaway market. A02 • This is because customers can now place their orders over the internet and the food will be delivered to their homes. • This market is bigger since customers no longer have to travel from inconvenient parts of Dhaka to eat Haji Biryani's food. A03 • Therefore, this means customers no longer have to travel across Dhaka, wasting time. As a result, customers may be willing to pay more for the home delivery service, increasing the profits of the business. • As a result, the potential demand will increase significantly, resulting in much higher potential revenues which should lead to higher profits. A04 • However, Haji Biryani is a restaurant not a takeaway and, therefore, customers may enjoy dining in the restaurant, a luxury which they would not get from a home delivery service. As a result, the new service may simply increase costs but not improve revenues by as much, resulting in lower, rather than higher, profits. • However, the takeaway market may be much more competitive than the restaurant market and, with many other restaurants also offering a home delivery service, the extra revenues generated by Haji Biryani may not be high. Therefore, with the extra costs of employing drivers to deliver the food, profits may be lower in the short term until customers start to become loyal to the new service.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues. (AO4)
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Draws a conclusion based on sound evaluation of business information and issues. (AO4)
Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues. (AO4)